

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-22

U SHIPPERS GROUP INC.,

Complainant,

v.

MAERSK A/S dba MAERSK,

Respondent.

ANSWER TO COMPLAINT

Respondent, MAERSK A/S (“MAERSK”), through its undersigned counsel, answers the Verified Complaint, upon information and belief, as follows:

1. Denies knowledge or information sufficient to form a belief as to the allegations contained in paragraph “1.”
2. Denies knowledge or information sufficient to form a belief as to the allegations contained in paragraph “2” and defers all questions of law to the Commission for determination.
3. Admits the allegations contained in paragraph “3.”
4. Admits the allegations contained in paragraph “4.”

5. Denies that the Commission has subject matter jurisdiction over U SHIPPERS' breach of contract claims; but except as so specifically denied, denies knowledge or information sufficient to form a belief as to the other allegations contained in paragraph "5" and defers all questions of law to the Commission for determination.

6. Denies the allegations contained in paragraph "6" and defers all questions of law to the Commission for determination.

7. Admits the allegations contained in paragraph "7."

8. Denies the allegations contained in paragraph "8" and defers all questions of law to the Commission for determination.

9. Denies the allegations contained in paragraph "9" and defers all questions of law to the Commission for determination.

10. Denies the allegations contained in paragraph "10" and defers all questions of law to the Commission for determination.

11. Denies the allegations contained in paragraph "11" and defers all questions of law to the Commission for determination.

12. Denies the allegations contained in paragraph "12" and defers all questions of law to the Commission for determination.

13. Denies the allegations contained in paragraph "13" and defers all questions of law to the Commission for determination.

14. Admits the allegations contained in paragraph "14."

15. Admits the allegations contained in paragraph "15."

16. Admits that the Twill system was relatively new in 2020; but except as so specifically admitted, denies the other allegations contained in paragraph "16."

17. Denies the allegations contained in paragraph "17."

18. Denies the allegations contained in paragraph “18.”
19. Denies the allegations contained in paragraph “19.”
20. Admits the allegations contained in paragraph “20.”
21. Denies the allegations contained in paragraph “21.”
22. Denies the allegations contained in paragraph “22.”
23. Denies the allegations contained in paragraph “23.”
24. Denies the allegations contained in paragraph “24.”
25. Denies the allegations contained in paragraph “25.”
26. Denies the allegations contained in paragraph “26.”
27. Denies the allegations contained in paragraph “27.”
28. Denies that MAERSK reneged on any promise and admits that MAERSK

declined to renew its agreement with U SHIPPERS for good cause; but except as so specifically denied and admitted, denies knowledge or information sufficient to form a belief as to the other allegations contained in paragraph “28.”

29. Denies the allegations contained in paragraph “29.”

30. Denies knowledge or information sufficient to form a belief as to the allegations alleged in paragraph “30.”

31. Admits that U SHIPPERS sent a letter to MAERSK on May 22, 2022 demanding arbitration of their contract disputes to which MAERSK responded; but except as so specifically admitted, denies the other allegations contained in paragraph “31.”

32. Denies the allegations contained in paragraph “32.”

33. Admits the allegations contained in paragraph “33.”

34. Admits that paragraph “34” quotes from the Shipping Act which speaks for itself; but except as so specifically admitted, denies knowledge or information sufficient to form a belief as to the other allegations contained in paragraph “34.”

35. Denies the allegations contained in paragraph “35.”

36. Admits that the pertinent statutory, regulatory and Service Contract terms speak for themselves; but except as so specifically admitted, denies the other allegations contained in paragraph “36.”

37. Denies the allegations contained in paragraph “37.”

38. Denies the allegations contained in paragraph “38.”

39. Denies the allegations contained in paragraph “39.”

40. Admits that MAERSK did not make certain payouts when requested by U SHIPPERS; but denies that it ignored requests made by U Shippers for payouts. Except as so specifically admitted or denied, denies knowledge or information sufficient to form a belief as to the other allegations contained in paragraph “40.”

41. Denies the allegations contained in paragraph “41.”

42. Denies the allegations contained in paragraph “42.”

43. Admits that MAERSK declined to renew its agreement with U SHIPPERS for good cause; but except as so specifically admitted, denies knowledge or information sufficient to form a belief as to the other allegations contained in paragraph “43.”

44. Denies the allegations contained in paragraph “44.”

45. Denies the allegations contained in paragraph “45.”

46. Denies the allegations contained in paragraph “46.”

FIRST AFFIRMATIVE DEFENSE

The allegations in the Verified Complaint lack a meritorious factual basis. After the parties entered into the Service Contract, U SHIPPERS failed to meet minimum its volume commitments. While the Service Contract was in effect, MAERSK received information that U SHIPPERS was engaged in unfair practices against its members resulting in its members taking legal action against the Complainant. MAERSK exercised its right not to renew the Service Contract which, as U SHIPPERS' legal counsel acknowledged, was contingent on the parties' agreement on new rates which did not occur.

SECOND AFFIRMATIVE DEFENSE

Without waiving any other defenses, MAERSK denies that the Commission possesses subject matter jurisdiction over this case. U SHIPPERS alleges a breach or breaches of its Service Contract with MAERSK. Title 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract is "an action in an appropriate court" unless the parties otherwise agree.

THIRD AFFIRMATIVE DEFENSE

The Verified Complaint fails to state a claim against MAERSK on which relief may be granted.

FOURTH AFFIRMATIVE DEFENSE

U SHIPPERS lacks standing to assert the claims alleged in the Verified Complaint because it did not pay the freight charges required by the relevant Service Contract.

FIFTH AFFIRMATIVE DEFENSE

The claims alleged in the Verified Complaint are barred by the doctrines of equitable estoppel and/or unclean hands.

SIXTH AFFIRMATIVE DEFENSE

The claims alleged in the Verified Complaint are barred by U SHIPPERS' failure to mitigate its alleged damages.

WHEREFORE, Respondent, MAERSK A/S, demands judgment dismissing the Verified Complaint with prejudice and for such other and further relief as the Commission may deem just and proper.

Dated: September 26, 2022

/s/Wayne R. Rohde
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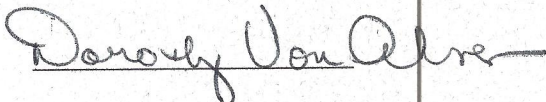
Attorneys for Respondent

VERIFICATION OF RESPONDENT MAERSK A/S

Dorothy Von Ahnen, hereby verifies as follows:

1. I am Twill Customer Engagement Manager with Maersk Agency, U.S.A., Inc., the U.S. agent for Maersk A/S.
2. I am authorized to make this verification on behalf of Maersk A/S.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: September 26, 2022

A handwritten signature in cursive script that reads "Dorothy Von Ahnen". The signature is written in dark ink and is positioned above the printed name.

Name: Dorothy Von Ahnen

Title: Twill Customer Engagement Manager

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 26th day of September, 2022, the foregoing
Answer to Complaint was served via electronic mail on:

Efrem Schwalb (eschwalb@koffskyschwalb.com)

Tal S. Benschar (tbenschar@koffskyschwalb.com)

Brendan Collins (bcollins@gkglaw.com)

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/s/Wayne R. Rohde
WAYNE R. ROHDE